

LABOR POLICY ESI 2026

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Labor codes

Needs for consolidation

- As **labor is in the concurrent list**, there was an entire gamut of **200+ state and 40+ central laws** with often colluding jurisdictions.
- The **multiplicity, rigidity, and overlapping nature of laws** also makes **compliance difficult** which leads to **inspector raj like conditions even now**. This leads to corruption, exploitation of workers, etc.
- The above situation also **hampers the ease of doing business** in India.
- India has a **huge informal sector**, with almost 90% workforce engaged in it. The labor laws largely ignore the sector.
- The **companies have an incentive in keeping their firm small** as larger firms attract stricter regulations.
- The contract employment always generates aversion from labors. There is **a need to introduce fixed-term employment**.
- The **female labor force participation is very low** and it is mainly engaged in the informal sector and low-paid jobs.
- The **collective bargaining of the employees is weak**. It needs to be strengthened.
- The codification of labor laws was recommended by the 2nd National commission on labor (2002).

The Labor Code is the Central Government's initiative to tackle following existing lacunae:

- Almost 90% of the current workers are not covered under any social security.
- Unorganized sector workers are largely excluded.
- Prevailing schemes have very limited outreach.
- Multiplicity of applicable laws, policies, schemes and governmental instrumentalities;
 - Current thresholds for wage and number of workers employed for a labor law to become applicable creates tenacious incentives for the employers to avoid joining the system which results in exclusions and distortions in the labor market.

*The Code finds its genesis in the **Report of the Second National Commission on Labor (2002)** and many other subsequent studies and reports on social security policies including UN SDGs of the 2030 Sustainable Development Goals Agenda along with expert technical assistance from the International Labor Organization on the policy framework.*

Four new codes basic

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As per the recommendations of the 2nd National Commission on Labor, Ministry has taken steps for **codification of existing Central labor laws into 4 Codes** by simplifying, amalgamating and rationalizing the relevant provisions of the Central Labor laws.

In a historic decision, the Government of India has announced that the four Labour Codes - **the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020 and the Occupational Safety, Health and Working Conditions Code, 2020** are being made effective from **21st November 2025**, rationalizing 29 existing labour laws.

The Code on Wages 2019

- To simplify, consolidate, and rationalize the **provisions of four existing laws**-
 - The Payment of Wages Act, 1936
 - The Minimum Wages Act, 1948
 - The Payment of Bonus Act, 1965
 - The Equal Remuneration Act, 1976
- It **aims** to strengthen workers' rights while promoting simplicity and uniformity in wage-related compliance for employers.
- The **Code on Wages, 2019** has reduced the number of rules from 163 to 58, number of forms from 20 to 6 and number of registers from 24 to 2.

MAJOR HIGHLIGHTS

ENSURING FAIR AND MINIMUM WAGES

☛ Universal Minimum Wages:

- **Section 5** of the Code on Wages, 2019 establishes a statutory right to **minimum wages** for **all employees**, extending its coverage to every sector, both **organised and unorganised**.
- Earlier, the Minimum Wages Act applied only to scheduled employments covering ~30% of workers.

☛ Introduction of Floor Wage:

- Section 9 read with Rule 11 of the Code introduces **floor wages** as a statutory provision.
- A statutory floor wage shall be set by the Government based on minimum living standards, with scope for regional variation.
- No state can fix minimum wages below this level, ensuring uniformity and adequacy nationwide.

☛ Criteria for Wage Fixation:

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- Minimum wage rates for timework, piece work for different wage period i.e. by hours, day or by month to be fixed by the appropriate Government.
- Appropriate Governments will determine minimum wages considering workers' skill levels (unskilled, skilled, semi-skilled and highly skilled), geographic areas, and job conditions such as temperature, humidity, or hazardous environments.
- The government shall revise minimum rate of wages ordinarily at an **interval not exceeding five years.**

▮ Stating working hours

- Section 13 read with Rule 6 of the Code limits normal working hours to prevent employees from being overworked without adequate compensation.
- The period of work shall not exceed 48 hours a week, if employee is working for less than 6 days a week.
- The period of work shall not exceed 12 hours in a day in cases where flexibility is provided. This includes intervals for rest.
- The remaining days of that week shall be a paid holiday for the employee.

SECURING FAIR AND CONSISTENT WAGE PAYMENTS

▮ Ensuring payment of wages

- Under Section 43 of the Code, every employer shall pay wages to the employee employed by him.
- In **cases of failure**, the company or firm or association or any other person who is the proprietor of the establishment, in which the employee is employed, shall be responsible for such unpaid wages, **reinforcing employer liability under the Code.**

▮ Universal Coverage for Wage Payment:

- **Provisions ensuring timely payment and preventing un-authorized deductions will apply to all employees**, irrespective of wage limits (currently applicable only to employees earning up to ₹24,000/month).
- It **protects both blue-collar and white-collar employee**, bringing them under a uniform wage protection framework.

▮ Timely Limit for payment of wages

- In accordance with **Section 17 of the Code on Wages, 2019**, the employer shall pay or cause to be paid wages to all the employees, engaged on

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- **Daily**; then at shift end,
- **Weekly**; before the weekly holiday,
- **Fortnightly**; within two days, and
- **Monthly**; within seven days of the next month.
- On termination or resignation; wages must be paid within two working days.

■ Proof of Payment and Employment

- Under Section 50(3) read with Rule 34 of the Code on Wages, 2019 the **employers shall provide wage slips, electronically or in physical form, on or before wage payment, ensuring transparency and reducing disputes.**

■ Payment of Annual Bonus

- Payment of bonus is applicable to every employee, drawing wages not exceeding such amount as fixed by appropriate government, **who has worked for at least 30 days in an accounting year.**
- The annual bonus is paid minimum at the rate of eight and one-third % and maximum up to 20% of the wages earned by the employee.
- This **promotes economic justice** by profit sharing, boosts **employee morale, loyalty and motivation.**

■ Extension of Limitation Period

- The Code on Wages, 2019 provides that **period of limitation for filing of claims by an employee** from the earlier duration of 6 months-2 years has been enhanced to a period of 3 years.
- This gives employees more time to gather evidence, seek support, and pursue justice effectively.

■ Minimum Time Rate Wages for Piece Work

- Under Section 12 of the Code of Wages, 2019, if an employee is employed on piece work where a minimum time rate (instead of a piece rate) is fixed, the employer must pay wages not less than this minimum time rate.

■ Overtime Compensation:

- In accordance with **Section 14 of Code on Wages, 2019** employers must pay overtime wages at a rate not less than twice the normal wages for any work performed beyond regular working hours.
 - **Ensuring Payment of Wages: Benefits the Employees**

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- **Section 43** holds the employer directly accountable for payment of wages
- **Section 17** guarantees timely income, prevents financial distress, and ensures employee can meet essential needs.
- **Section 50(3)** read with Rule 34 ensures proof of employment and payment that promotes transparency, prevents disputes, and empowers employees.
- **Section 12** prevents wage manipulation, exploitation and unfair practices in piece-rate jobs

DECRIMINALIZATION AND COMPOSITION OF OFFENCES

Composition of Offences

- Section 56 read with Rule 36 of the code **replaces criminal penalties** (like imprisonment) **with civil penalties** (like graded monetary fines) for first time offences punishable with fine only.
- It introduces a provision of compounding for offenses punishable (with fine only) by paying **sum of fifty percent of the maximum fine.**
- For employers, it ensures that wage laws benefit the employees directly.
- For employees, **it creates a work environment that is not driven by fear.**

Compounding of Offences:

- First-time, non-imprisonable offences can be compounded by paying a penalty. Repeat offences within five years, however, cannot be compounded.

Inspector-cum-Facilitator:

- The traditional role of “Inspector” is replaced with “Inspector-cum-Facilitator,” emphasizing guidance, awareness, and advisory roles alongside enforcement to improve compliance.

GENDER INCLUSIVE EMPLOYMENT POLICIES

Gender Equality in Employment:

- Pursuant to Section 3 of Code on Wages, 2019, there shall be no discrimination on the basis of gender, including transgender identity, in matters of recruitment, wages, or employment conditions for the same or similar work performed by employees.
- Unfair wage disparities based on gender shall be removed and equal pay for equal work will be ensured.

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Occupational Safety, Health and Working Conditions Code Bill, 2020

- The Code has been drafted after amalgamation, simplification and rationalization of the relevant provisions of the 13 Central Labour Acts-
 1. The Factories Act, 1948;
 2. The Plantations Labour Act, 1951;
 3. The Mines Act, 1952;
 4. The Working Journalists and other Newspaper Employees (Conditions of Service and Miscellaneous Provisions) Act, 1955;
 5. The Working Journalists (Fixation of Rates of Wages) Act, 1958;
 6. The Motor Transport Workers Act, 1961;
 7. The Beedi and Cigar Workers (Conditions of Employment) Act, 1966;
 8. The Contract Labour (Regulation and Abolition) Act, 1970;
 9. The Sales Promotion Employees (Conditions of Service) Act, 1976;
 10. The Inter-State Migrant Workmen (Regulation of Employment and Conditions of Service) Act, 1979;
 11. The Cine-Workers and Cinema Theatre Workers (Regulation of Employment) Act, 1981;
 12. The Dock Workers (Safety, Health and Welfare) Act, 1986 and;
 13. The Building and Other Construction Workers (Regulation of Employment and Conditions of Service) Act, 1996.
- The Code balances the twin objectives of **safeguarding worker rights** and safe working conditions, and creating a **business-friendly regulatory environment**.

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MAJOR HIGHLIGHTS

WORKER WELFARE & EMPLOYMENT CONDITIONS

Formalisation through Appointment Letters

- Every employee will be given appointment letters in the prescribed format specifying the details of the employee, designation, category, details of the wages, details of social security etc.

Annual Leave with wages

- The workers employed in an establishment are entitled for paid leave in a calendar year on working of 180 days or more in such calendar year.
 - Earlier workers had to work for 240 days for becoming eligible for paid leave.

Inter-State Migrant Workermen (ISMW)

- The definition has been widened to include those employed directly or through contractor and also covers workers who migrate on their own
- Pro-Worker Provisions
 - ISMW will receive to journey allowance from the employer to visit native place once in 12 months.
 - Migrant construction workers will get portability of benefits under Building & Other Construction Workers (BOCW) Cess fund and PDS ration.

National Worker Database

- The Ministry of Labour & Employment has also taken steps to develop a national database to enroll unorganized workers including migrants.

Victim Compensation:

- Courts can direct at least 50% of fines imposed on offenders to be paid as compensation to victims or their legal heirs in case of injury or death.
- The definition of audio-visual worker has been revised and now it includes digital/audio-visual workers and dubbing artist, stunt persons these persons will also get the benefit of law.
 - Now Code gives dubbing artists and stunt workers formal recognition and access to legal protections, ensuring safer and fairer working conditions.

HEALTH, SAFETY & WELL-BEING

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▣ Safety Committees

- Every factory employing **500 or more workers**, employer employing **250 or more BOCW** (Building and Other Construction Workers) and employer employing **100 or more mine workers will constitute safety committee which will consist of representatives from employers and workers.**

▣ Universal coverage of establishments for health, safety and welfare of workers

- This code has provided health, safety and welfare of workers in all sectors which was previously limited to 7 sectors viz. factories, mines, plantation, beedi-cigar, dock workers, BOCW and motor transport.

▣ Health and Medical Coverage

- Every employee will be eligible for free annual health check-ups. Also, the plantation employer can now avail the ESI facility for medical services.

▣ National Standards and National Board

- In place of 6 boards under different acts, now **there is a single National Occupational Safety and Health Advisory Board which is of tripartite nature and has representation from trade unions, employer associations, and State Governments to advise Central Govt. on standards, regulations etc. for factory, mine, dockwork, bidi & cigar, building or other construction work etc.**
- The boards will set **national standards for occupational safety, health and working conditions** that will be **mandatory for states** to follow ensuring compliance to stringent quality standards for occupational safety, health and working conditions across the country for all workers.

▣ Social Security Fund

- The Code provides for establishment of a **Social Security fund** for the welfare of the unorganised workers to which amount received from composition of the offence as well as from the penalty, would be credited.

INDUSTRY FACILITATION & EASE OF DOING BUSINESS

▣ Extended Applicability

- An enabling provision has been made that the Government can extend applicability of this Code to any establishment, **even if it has one employee, carrying out hazardous or life-threatening occupations.**

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■ Ease of Doing Business

- Electronic Single registration, Single return, **Single all India licences valid for 5 years and deemed approvals promotes “Ease of Doing Business”.**

■ Electronic Registration

- Uniform threshold of 10 employees; one registration for an establishment has been envisaged in place of 6 registrations - creating a centralized database and promote ease of doing business.

■ Revised Factory Thresholds

- The threshold to obtain license for factory has been increased from 10 to 20 with power and 20 to 40 without power.
- Further, the provision to grant permission for construction of factory or expansion of factory a time limit of 30 days has been prescribed with the provision of deemed permission.
- A time limit of 30 days has been fixed for the site appraisal committee to give its recommendations for initial location of the factory involving hazardous process or expansion of such factories.

■ Inspector-cum-Facilitator System:

- Inspectors will now act as facilitators with an objective to help employers comply with law, rules and regulations rather than merely policing them.

■ Third party audit and certification

- Provision has been made for third party audit and certification of start-up establishments or class of establishments.
- It will help establishments to assess and improve health & safety without intervention of Inspector-cum-Facilitator.
- It will reduce the “inspector raj” and at same time will improve health & safety in establishments.

■ Digitization of Records

- **There is drastic reduction in number of registers from 84 to 8 under this Code.**

REVISED CONTRACT LABOUR REGIME

■ Defined Core and Non-Core Activities

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- In OSH Code the core & non-core activities are clearly defined & employers are given flexibility to employ contract labour even in the core activities, if-
 - **(a)** the normal functioning of the establishment is such that the activity is ordinarily done through contractor; or
 - **(b)** the activities are such that they do not require full time workers for the major portion of the working hours in a day or for longer periods, as the case may be;
 - **(c)** any sudden increase of volume of work in the core activity which needs to be accomplished in a specified time.
- With clear distinction of core and non-core activity, workers will have clarity of the type of work engaged in and thus, flexibility to choose work.

Threshold for Applicability

- Threshold for applicability of the provisions relating to contract labour has been **increased from 20 to 50 workers** as a result the contractor employing less than 50 contract labour will not require license.

Contract Labour Welfare & Wages

- The Code casts responsibility on the principal employer to provide welfare facilities like health and safety measures to contract workers.
- If the contractor fails to pay wages, the principal employer has to pay unpaid wages to the contract labour.

COMPOUNDING & DECRIMINALIZATION OF OFFENCES

Compounding of Offences

- The first-time offences which are punishable with fine only shall be compoundable by paying sum of **50%** of the maximum fine and the punishment with fine or imprisonment or with both shall be also be compoundable by paying sum of **75%** of the maximum fine making the law **less punitive** and **more compliance-oriented**.

De-criminalization of offences & Improvement Notice

- Several offences have been **decriminalized making the law less punitive and more compliance-oriented encouraging voluntary compliance and reducing fear of harsh penalties for procedural lapses**.
- **Replacing criminal penalties (like imprisonment) with civil penalties** (like monetary fines) for certain offences.

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- The employer will be **given mandatory 30 days notice** for compliance before taking any legal action.

WOMEN-CENTRIC PROVISIONS

■ Women's Employment:

- Women can work in all types of establishments and during night hours (before 6AM, beyond 7PM) with consent and safety measures, fostering equality and inclusion.

■ Crèches facilities

- Establishment having more than 50 workers have to provide creche facility either separately or common crèche facilities at suitable locations.
- It supports working women with children below the age of 6 years.

THE CODE ON SOCIAL SECURITY, 2020

- The Code on Social Security **incorporates existing nine Social Security** Acts viz;
 - The Employee's Compensation Act, 1923;
 - The Employees' State Insurance Act, 1948;
 - The Employees' Provident Funds and Miscellaneous Provisions Act, 1952;
 - The Employment Exchanges (Compulsory Notification of Vacancies) Act, 1959;
 - The Maternity Benefit Act, 1961;
 - The Payment of Gratuity Act, 1972;
 - The Cine-Workers Welfare Fund Act, 1981;
 - The Building and Other Construction Workers' Welfare Cess Act, 1996;
 - The Unorganised Workers' Social Security Act, 2008
- **The Code extends social security to all workers**- including unorganized, gig, and platform workers-covering life, health, maternity, and provident fund benefits, while introducing digital systems and **facilitator-based compliance** for greater efficiency.

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MAJOR HIGHLIGHTS

PRO-WORKER PROVISIONS

■ Expanded ESIC (Employees' State Insurance) Coverage:

- ESIC now applies pan-India, eliminating the criteria of “notified areas.”
- Establishments with fewer than 10 employees may voluntarily opt in with mutual consent of employers and employees.
- For hazardous or life-threatening occupations, the minimum limit of 10 workers has been removed. **ESIC coverage is now mandatory even for a single worker** engaged in such work

■ Gratuity for Fixed-Term Employees:

- Under Section 53 of the code, the Government has **reduced the eligibility requirement for gratuity** for Fixed Term Employees (FTEs) from **five years to one year**.
- In case where the employee completes one year of continuous service, gratuity shall be applicable on **proportionate basis**.

■ Inclusion of Gig and Platform Workers:

- For the first time in the country, **social security benefits have been extended to unorganised, gig and platform workers under Sections 113 & 114 of the Code on Social Security, 2020**.
- New definitions are included- “aggregator,” “gig worker,” and “platform worker” to enable social security coverage.
- Aggregators to contribute 1- 2% of annual turnover (capped at 5% of payments to such workers).
- The Code covers following measures to extend welfare benefits to a large domain of workers:
 - **Establishment of a National Social Security Board** to advise the Government for formulating and monitoring suitable schemes for different sections of workers in the unorganised, gig and platform sectors.
 - **Provision for State Unorganised workers Social Security Board** that will advise the state governments about suitable schemes for unorganised workers, gig and platform workers, covered under Section 6(9).
 - Creation of a **Social Security Fund** based on contributions from the Central & State Governments, collected from Corporate Social Responsibility, fines collected

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due to compounding etc. This fund will be used to provide benefits such as **life insurance, disability cover, health and maternity benefits, and provident fund schemes** for these workers.

- Section 13 has also been envisaged for entrustment of **additional functions** to social security organisations, for future requirements.

■ Universal Coverage under EPFO:

- The **Employees Provident Fund & Miscellaneous Provisions Act, 1952**, valid for the establishments mentioned in Schedule 1 of the Act, has been removed under the code.
- Now, **the Code on Social Security, 2020** extends the coverage of the Employees' Provident Fund (EPF) with the provisions **applying to all establishments that have 20 or more employees, regardless of the type of industry.**

■ National Registration & Unique Identification

- The Government will build a **National Database of Unorganized Workers** to make it easier to design and **deliver social security benefits for specific worker groups.**
- All unorganized, gig, and platform workers will have to register themselves on a **National Portal**, post which each worker will receive a **Unique Identification Number.**
- Verified through Aadhaar, it will be valid across the entire country.

■ Uniform Definition of Wages:

- "Wages" now include basic pay, dearness allowance, and retaining allowance; 50% of the total remuneration (or such percentage as may be notified) shall be added back to compute wages, ensuring consistency in calculating gratuity, pension, and social security benefits.

■ Expanded Definition of Dependents:

- The definition of **"family" to include the mother-in-law and father-in-law** of a woman employee (subject to an income cap).
- It also includes a **minor unmarried brother or sister** who is wholly dependent on the insured person, if the parents are not alive.

■ Commuting Accidents Covered:

- Accidents during travel between home and workplace are now deemed employment-related, qualifying for compensation.

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PRO-WOMEN PROVISIONS

Maternity Benefit Entitlement

- Every woman employee who has worked for at least **80 days** in the **12 months** before the expected delivery is eligible for **maternity benefit equal to her average daily wages** during the leave period.
- The maximum duration of maternity leave is **26 weeks**, of which **up to 8 weeks** can be taken before delivery.
- A woman who **adopts a child below 3 months of age** or a **commissioning mother** (a biological mother who uses surrogacy) is entitled to **12 weeks of maternity benefit** from the date of adoption or when the child is handed over.

Work from Home

- To provide more flexibility to women returning after maternity leave, the Code allows them to **work from home**, if the **nature of work permits**.
- The employer may permit work from home based on **mutual agreement** between the employer and the employee.

Simplified Certification for proof of Delivery, etc.

- **Proof of maternity-related conditions** such as pregnancy, delivery, miscarriage, or related illness has been simplified under the Code. Medical certificates can now be issued by:
 - A registered medical practitioner
 - An accredited social health activist (ASHA worker)
 - A qualified auxiliary nurse, or
 - A midwife

Medical Bonus

- Under **Section 64**, if the **employer** does **not provide free pre-natal and post-natal care**, the **woman employee is entitled to a medical bonus of ₹3,500**.

Nursing Breaks

- After returning to work post-childbirth, a **woman employee** is entitled to **two nursing breaks each day** for **nursing her child** until the **child attains 15 months of age**.

Crèche Facility

- **Every establishment with 50 or more employees must provide a crèche facility** within a prescribed distance.

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- This requirement is **now gender-neutral and applies to all types of establishments**.
- The **employer must allow four visits a day by the woman** to the crèche which includes the rest intervals.
 - **Establishments** can **avail common crèche facility** of the Central Government, State Government, municipality or private entity or provided by non-Governmental organisation or by any other organization or group of establishments who may pool their resources for setting up of common crèche in the manner as they may agree for such purpose.
 - If a **crèche facility is not provided**, the **employer must pay a crèche allowance not less than ₹500 per month per child (for up to two children)**.

PRO – GROWTH PROVISION

▮ Digitalisation

- The Code provides for maintaining all **records, registers, and returns in electronic form**. This will **reduce compliance costs** for employers and make processes simpler and more efficient.

▮ Limitation on Inquiry

- A **five-year limit** has been introduced for starting any inquiry under the **Employees' Provident Fund** to determine applicability or recover dues.
- Such inquiries must be **completed within two years** from the date they begin, with a possible **extension of one year** if approved by the **Central Provident Fund Commissioner (CPFC)**.

▮ Reduced EPF Appeal Deposit:

- Employers appealing EPFO orders now need to deposit **only 25% of the assessed amount (down from 40–70%)**, reducing financial burden and ensuring ease of business and access to justice.

▮ Self-assessment for Construction Cess:

- Employers can now self-assess cess liabilities in respect to Building and Other Construction Work, previously assessed by the notified Government authority.
- It reduces procedural delays and official intervention.

▮ ESIC for Plantations

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- As per existing Act, **plantation owners are not covered by ESIC Schemes**. The Code now gives them the **option to join ESIC voluntarily**.

Decriminalization & Monetary Fines:

- The code has replaced imprisonment with monetary fines for certain offences.
- Further, the Code has **replaced imprisonment with monetary fines for 13 offences**, and 7 violations carrying imprisonment of **less than one year** can now be **compounded into penalties or fines**.

PRO-EMPLOYMENT PROVISIONS

Vacancy Reporting:

- Employers shall report vacancies to specified career centres before recruitment, promoting transparency in employment opportunities.

Fixed-Term Employment

- With the Code on Social Security 2020 in place, **fixed-term employees are now eligible for gratuity after completing one year of continuous service**, a benefit that was earlier available only to permanent employees.

Universal Coverage of Workers

- The Code broadens social security and employment coverage to categories of workers who were earlier outside the scope of such benefits.
- (a) Gig and Platform Workers:**
 - For the first time, these categories have been formally recognised. The Code mandates the framing of **social security schemes** for them, covering **life insurance, disability insurance, health, maternity, and pension benefits**. This will help gig and platform workers live with dignity and security.
- (b) Unorganised Sector / Self-Employed Workers:**
 - The Code provides for social security schemes for **self-employed and unorganised workers**, as well as other classes of persons, ensuring their welfare and protection.

Time-bound EPF (Employees' Provident Fund) Inquiries:

- A five-year limit has been set for initiating EPF inquiries and recovery proceedings, to be completed within two years (extendable by one).
- Suo-moto reopening of cases has been abolished, ensuring timely resolution.

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INDUSTRIAL RELATION CODE

- The Industrial Relations Code (IR Code) has been prepared after amalgamating, simplifying and rationalizing the relevant provisions of -
 - Trade Unions Act, 1926,
 - Industrial Employment (Standing Orders) Act, 1946
 - Industrial Disputes Act, 1947

MAJOR HIGHLIGHTS

UNIFORM DEFINITIONS TO SIMPLIFY COMPLIANCE

▮ Definitions of “Worker” has been expanded

- Pursuant to Section 2(zr) of Industrial Relations Code, 2020, the definition of ‘worker’ has been expanded to include sales promotion employees, working journalists, and supervisory employees earning up to ₹18,000 per month, thereby extending statutory labour protections to a wider segment of the workforce.

▮ Expansion of the definition of “Industry”

- As per Section 2(p) of Industrial Relations Code, 2020, the term “industry” now encompasses any systematic activity carried on by cooperation between employer and worker, regardless of whether capital is invested or profit is intended, thereby bringing non-profit and low-capital activities within its ambit.

▮ Statutory recognition to the Trade Unions

- A union with **51% membership in an establishment** can be categorised as a **Negotiating Union** with exclusive rights to represent workers in collective bargaining and grievance redressal.
- In case this threshold is not met, **Negotiating Council** shall be constituted comprising representatives of all trade unions with at least 20% membership.

▮ Fixed Term Employment (FTE):

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- Allows direct, time-bound contracts with full parity in wages and benefits; gratuity eligibility after one year. The provision reduces excessive contractualization and offers cost efficiency to employers.

Amended Definition of “Strike”

- To discourage flash strike and to promote industrial harmony, the definition of strike has been amended. It includes “mass casual leave also within the ambit”, which comprises of cases where casual leave has been taken by more than fifty percent of the workers on a given day.

Notice for Strikes/Lockouts:

- Mandatory 14-day notice for all establishments to promote dialogue and minimize disruptions

Industrial Tribunals:

- Two-member tribunals consisting of judicial and administrative member for quicker dispute resolution.

Direct Tribunal Access:

- Parties may approach tribunals directly after failed conciliation within 90 days.

PROVISIONS ON RETRENCHMENT PROCESS

Re-skilling Fund:

- To train retrenched employees, this fund has been set up from the contribution to be made by an industrial establishment for an amount equal to 15 days' wages for every worker retrenched.
- This is in addition to retrenchment compensation. The amount will be credited to the workers account within 45 days of retrenchment.

Higher Threshold for Lay-off/Retrenchment/Closure:

- Approval limit raised from 100 to 300 workers; States may enhance the limit further. The provision will simplify compliance and contribute to formalization.

ADVANCING GENDER EQUITY AT WORK

Representation of women in the Grievance Redressal Committee

- The Code provides for adequate representation of women in the Grievance Redressal Committee, not less than in proportion to their presence in the workforce in the industrial establishment.

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- Thus, ensuring gender-sensitive dispute resolution and promoting equality and safety at the workplace.

▣ Women's Representation:

- Ensures proportional representation of women in grievance committees for gender-sensitive redressal.

▣ Work-from-Home Provision:

- Permitted in service sectors by mutual consent, improving flexibility.

OTHER PRO-GROWTH PROVISION

▣ Threshold for Applicability of Standing Orders

- To reduce the compliance burden for the establishments, the provisions relating to the requirement of certified standing orders shall apply only to industrial establishments employing 300 or more workers (previously 100) on any day in the preceding 12 months.

▣ Digital Processes:

- Enables electronic record-keeping, registration, and communication for transparency and efficiency.

- 'Gig work', 'Platform work', and 'Aggregators' **have been defined for the first time.**

Youth Workers:

- **Minimum wage is guaranteed for all workers.**
- All workers to get **appointment letters**, - promoting social security, employment history and formal employment.
- Worker exploitation by employers is prohibited—payment of wages during leave has been made mandatory.
- To ensure a decent standard of living, workers will receive wages as per the **floor wage** determined by the Central Government.

MSME Workers:

- All MSME workers covered under the **Social Security Code, 2020**, eligibility based on employee count.
- **Minimum wage guaranteed for all workers.**

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- **Workers will have access to facilities such as canteens, drinking water, and rest areas.**
- **Provisions for standard working hours, double overtime wages, and paid leave.**
- **Timely wage payment ensured.**

Beedi & Cigar Workers:

- **Minimum wages** guaranteed for all.
- Working hours capped at **8 -12 hours per day, 48 hours per week has been capped.**
- **Overtime Work** beyond prescribed hours, to be consent based and pay at least double the normal wage rate.
- **Timely payment of wages ensured.**
- **Workers eligible for Bonus** after completing 30 days of work in a year.

Plantation Workers:

- **Plantation workers are now brought under the OSHWC Code and the Social Security Code.**
- Labour Codes apply to plantations with more than 10 workers or 5 or more hectares.
- **Mandatory safety training on handling, storing, and using chemicals.**
- **Protective equipment mandatory** to prevent accidents and chemical exposure.
- **Workers and their families to get full ESI medical facilities; Education facilities** for their children are also guaranteed.

Audio-Visual & Digital Media Workers:

- **Digital and audio-visual workers, including journalists in electronic media, dubbing artists, and stunt persons will now receive full benefits.**
- **Mandatory appointment letter for all workers** - clearly stating their designation, wages, and social security entitlements.
- **Timely payment of wages** ensured.
- **Overtime Work beyond prescribed hours, to be consent based and pay at least double the normal wage rate.**

Mine Workers:

- **The Social Security Code treats certain commuting accidents as employment-related, subject to conditions of time, and place of employment.**
- Central Government notified standards to **standardize workplace occupational safety and health conditions.**

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- **Health safety for all workers will be ensured.** Free annual health check-up will be provided.
- **Limit on working hours** set to 8 to 12 hours per day, 48 hours per week to ensure health and work-life balance.

Hazardous Industry Workers:

- All workers will receive **free annual health check-ups**.
- **Central Government** will **frame national standards** for better safety of workers.
- **Women can work in all establishments**, including underground mining, heavy machinery, and hazardous jobs, ensuring equal job opportunities for all.
- Mandatory safety committee at each site for on-site safety monitoring, and safe handling of hazardous chemicals ensured.

Textile Workers:

- All **Migrant Workers** (direct, contractor-based and self-migrated) to get **Equal wages, welfare benefits** and PDS portability benefits.
- Workers can raise claims for upto 3 years for settlement of pending dues, facilitating flexible and easy resolution.
- Provision for **double wages for workers for overtime work**.

IT & ITES Workers:

- **Release of Salary mandatory by the 7th of every month.** Transparency and trust ensured.
- **Equal pay for equal work made mandatory**, women's participation is strengthened.
- Facility for **women to work night shifts** in all establishments – women to get **opportunity to earn higher wages**.
- **Timely resolution** of harassment, discrimination, and wage related disputes.
- Guarantee of **social security benefits through fixed-term employment and mandatory appointment letters**.

Dock Workers:

- All Dock workers to **get formal recognition, Legal Protection**.
- Mandatory appointment letters to guarantee social security benefits.
- **Provident fund, pension, and insurance benefits ensured for all**, whether contract or temporary dock workers.
- Employer-funded annual health check-ups **mandatory**.
- **Dock workers to get mandatory medical facilities, first aid, sanitary and washing areas, etc., to ensure decent work conditions and safety.**

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Export Sector Workers:

- **Export sector fixed term workers to receive gratuity, provident fund (PF), and other social security benefits.**
- Every worker to have the option of availing **annual leaves after 180 days of work in a year.**
- Every worker to get right to **timely wage payment and no unauthorized wage deductions and no wage ceiling restrictions.**
 - Women allowed to **work in night shifts** with consent, ensuring opportunity to earn higher income.
 - **Safety and welfare measures** include mandatory written consent, double wages for overtime, safe transportation, CCTV surveillance, and security arrangements.

Employees' State Insurance Scheme:

Employees' State Insurance Scheme of India is a multi-dimensional Social Security Scheme tailored to **provide Socio-economic protection to the 'employees'** in the organized sector against the events of sickness, maternity, disablement and death due to employment injury and to provide medical care to the insured employees and their families.

Objective	To provide protection to employees as defined in Employees' State Insurance Act, 1948 against sickness, disablement, death due to employment injury, maternity benefit, and to provide medical care to insured persons and their families.
Administered by	The ESI Scheme is administered by a statutory corporate body called the Employees' State Insurance Corporation (ESIC), which has members representing Employers, Employees, the Central Government, State Government, Medical Profession and the Hon'ble Members of Parliament. Director General is the Chief Executive Officer of the Corporation and is also an ex-officio member of the Corporation.
Funding	The ESI scheme is a self-financing scheme. The ESI funds are primarily built out of contribution from employers and employees payable monthly at a fixed percentage of wages paid. The State Governments also bear 1/8th share of the cost of Medical Benefit.
Applicability	The ESI Act, 1948, applies to organizations with 10 or more employees, drawing a salary of up to ₹21,000. (Rs. 25000 per month for persons with disability).

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Not applicable	It is not applicable for seasonal factories, factories engaged in the pursuit of blending, packing or repacking tea or coffee or any other processes as notified by the Central Government.
Contribution	- The rate of contribution is fixed at 4% of the wages with employers' share being 3.25% and employees' share being 0.75%. - The Government of India through Ministry of Labor and Employment decides the rate of contribution under the ESI Act

Benefits

Medical Benefit - Full medical care to the insured person and his family members with no ceiling on expenditure of the treatment.

Sickness Benefit - In the form of cash compensation at the rate of 70 per cent of wages.

Maternity Benefit - For confinement/pregnancy is payable for 26 weeks, which is extendable by further one month on medical advice.

Disablement Benefit -

- Temporary disablement benefit (TDB): 90% of wage is payable so long as the disability continues.
- Permanent disablement benefit (PDB): 90% of wage in the form of monthly payments

Dependents Benefit - Paid in the form of monthly payment to the dependents in cases where death is due to employment injury or occupational hazards.

Other Benefits

- Funeral Expenses
- Confinement Expenses
- Vocational Rehabilitation
- Physical Rehabilitation
- Old Age Medical Care.

THE EMPLOYEES' PROVIDENT FUNDS AND MISCELLANEOUS PROVISIONS ACT, 1952

- The Act is managed under the aegis of Employees' Provident Fund Organization (EPFO).
- The Act extends to the whole of India, including two Union Territories, Jammu & Kashmir and Ladakh. The Act is currently applicable:

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- to every establishment, which is a factory engaged in any industry specified in Schedule-I of the Act in which twenty or more persons are employed; and
- In case of Cine-Workers, the required employee strength for the purpose of coverage under the Act is five.
- However, the provisions of the 1952 Act do not apply to certain excluded establishments, such as registered cooperative societies with less than 50 workers and working without the aid of power.
- the provisions of the 1952 Act do not apply to any other establishment belonging to or under the control of the Central Government or a State Government whose employees are entitled to the benefit of contributory provident fund or old age pension.
- Universal account number or UAN: The UAN is a 12-digit number allotted to each Employee Provident Fund member by the Employee Provident Fund Organization (EPFO) which gives him control of his EPF account and minimizes the role of employer.

The International Labor Organization (ILO):

- is a United Nations agency headquartered at Geneva, Switzerland dealing with labor problems, particularly international labor standards, social protection, and work opportunities for all. Total 187 members.
- It is devoted to promoting social justice and internationally recognized human and labour rights, pursuing its founding mission that social justice is essential to universal and lasting peace.
- The only tripartite U.N. agency, since 1919 the ILO brings together governments, employers and workers of 187 Member States, to set labour standards, develop policies and devise programmes promoting decent work for all women and men.

The International Labour Organization (ILO) has released its **Employment and Social Trends Report 2026**.

- **Unemployment Rate:** Projected to stay flat at **4.9%** (~186 million people).
- **Global Jobs Gap:** This is a broader measure than unemployment; it includes everyone who wants work but cannot access it. It is projected to reach **408 million** in 2026.
- **Informal Employment:** Over **2 billion** workers worldwide remain in the informal sector.
- **Working Poverty:** **284 million** workers live in extreme poverty (earning <\$3/day).

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